

**Supply Management Activity Group - Retail
Budget Overview
Fiscal Year (FY) 2025 President's Budget (PB)**

The Air Force Supply Management Activity Group–Retail (SMAG-R) is comprised of three divisions: General Support Division (GSD), Medical-Dental Division (MDD), and the United States Air Force Academy (USAFA). SMAG-R manages ~2.0 million inventory items including weapon system spare parts, medical-dental supplies and equipment, and other items used in non-weapon system applications. SMAG-R is a critical component in the support of combat readiness. It procures materiel and makes spares available to authorized customers. Within SMAG-R, MDD inventory includes a War Reserve Material (WRM) Stockpile.

SMAG-R provides a wide range of logistics support services including requirements forecasting, item introduction, cataloging, provisioning, procurement, repair, technical support, data management, item disposal, distribution management and transportation. Inventories are an integral part of SMAG-R and are maintained by each of the divisions in support of customer requirements. The SMAG-R objective is to replenish inventories and provide supplies to customers in a timely manner within customer funding constraints, while maintaining fund solvency.

Division Overviews

GSD finances the Air Force retail inventory and issues requirements for all non-Air Force managed economic order quantity (EOQ) items other than those pertaining to peculiar medical, commissary, and fuels requirements. GSD items support installation, maintenance, administrative functions, field and depot maintenance of aircraft, ground and airborne communication and electronic systems, and other sophisticated systems and equipment. Also included is initial outfitting of individual clothing items issued to new recruits, organizational clothing items such as firemen's protective over garments, 'clean room' coveralls, air crew helmets, and chemical biological warfare protective over garments. This retail activity is accomplished at 233 Air Force installations throughout the world.

USAFA finances the purchase of uniforms, uniform accessories, and miscellaneous commodities required by USAFA cadets during their four-year stay at the Academy. The customer base consists of approximately 4,000 cadets. USAFA

procures both distinctive uniforms and accessories from various manufacturing contractors and regular Air Force uniforms purchased through the Defense Logistics Agency.

The Surgeon General of the Air Force is responsible for the overall management of MDD. Nearly all peacetime customer orders come from Military Treatment Facilities (MTFs) funded by the Defense Health Program (DHP) appropriation.

In addition to the peacetime program, MDD is also responsible for purchasing and maintaining the inventory/assets funded by WRM appropriation. The medical WRM inventory is owned by MDD until it is needed for war fighter deployment or contingency operations, and it is then sold to the AF line and funds are collected. WRM inventory accounts for approximately 96% of total MDD inventory at any given time.

WRM / Direct Appropriation

MDD's WRM provides supplies and equipment vital to support forces in the full range of military operations for the first 30 days of a contingency operation and provides force health protection materiel to all deploying Air Force Active, Reserve, and Guard personnel. Availability of this materiel ensures Air Force personnel can deploy as scheduled and the contingency operations can be conducted until re-supply lines are established and materiel is routinely received from the contiguous United States. A direct appropriation funds the establishment and sustainment of over 3,300 assemblages and Force Health Protection assets for 255 locations that are maintained in MDD until required to provide direct support to the war fighters.

Approximately one third of WRM pharmaceuticals must be replaced annually because of shelf life or emergence of newer, more effective treatments. Sustainment costs to replace expiring materiel will continue to increase due to additional Unit Type Codes (UTCs) fielded into the WRM inventory, increased number of consumable items with expiration dates and manufacturers reducing the shelf life as new products enter the market. Medical equipment requires constant upgrade to maintain the medical standard of care for required deployable capability. New technology allows for replacement of equipment with smaller, more proficient models which often drives a change in other supply requirements. Periodic modernization of WRM ensures clinical and operational relevance of the UTC based on changes in clinical practice guidelines, medical technology, threat and operational environment and operational maneuver concepts.

SMAG-R Retail Customer Base

SMAG-R generates revenue from sales of various supplies to a diverse customer base. Primary SMAG-R customers are Air Force Major Commands (including Air Force Reserve and Air National Guard), Foreign Military Sales, Army, Navy, Defense Health Program, non-DoD activities, and other working capital activities, such as Air Force Consolidated Sustainment Activity Group–Maintenance Division.

SMAG-Retail Financial and Performance Summary

The table on the next page provides revenue and expense data for the SMAG-R division. Revenue and expenses in FY 2023 reflect an Accumulated Operating Result (AOR) of \$769.3 million and primarily due to GSD. Expenses increase primarily driven by GSD projected workload in FY 2024 and FY 2025 in Flying Hour Program (FHP) and increasing inflation factors. Revenue increase is consistent with increasing price change and customer requirements. Expense and Revenue changes for USAFA and MDD are stable and in line with current customer requirements and historical data. SMAG-R AOR declines by \$24.8 million in FY 2024 and by \$108.1 million in FY 2025 as GSD returns profits ending with a deferred AOR of \$636.4 million. The deferred AOR reduces insolvency risk in GSD and the AFWCF overall and allows the program to preserve cash.

Projected FY 2024 Unit Cost Rate (UCR) for SMAG-R is 1.01, and FY 2025 UCR is 1.02, slightly above normal 1.0 goals due to GSD deferred AOR.

The WRM direct appropriation received is included in the Total Revenue and Expenses balances in all fiscal years. Other Adjustments (WRM) are completed so Net Operating Result (NOR) reflect only results associated with the Operating Program, keeping WRM Program activity NOR neutral.

Revenue, Expenses and Net Operating Results

(\$ Millions)	FY 2023	FY 2024	FY 2025
Total Revenue	\$4,524.1	\$5,053.3	\$5,181.0
Total Expenses	\$4,387.7	\$5,019.4	\$5,279.1
Operating Results	\$136.3	\$33.9	(\$98.1)
Other Adjustments (WRM)	\$62.0	\$23.5	\$75.4
Net Operating Results	\$108.2	(\$24.9)	(\$108.1)
Non-Recoverable AOR Adjustment	\$0.0	\$0.0	\$0.0
Accumulated Operating Results	\$769.3	\$744.5	\$636.4

Cash Management

(\$ Millions)	FY 2023	FY 2024	FY 2025
Disbursements	\$4,315.4	\$5,086.1	\$5,305.5
Collections	\$4,606.0	\$4,899.4	\$5,108.3
Net Transfers	\$0.0	\$0.0	\$0.0
WRM	\$80.4	\$83.6	\$86.9
EOP Cash Balance	\$842.4	\$739.3	\$629.0
Lower Range Target	\$594.6	\$654.9	\$559.1
Upper Range Target	\$1,102.1	\$903.8	\$915.9

The FY 2023 SMAG-R ending cash balance increased as collections from the Depots were received. FY 2024 and FY 2025 decreases primarily driven by GSD returning profits through negative NOR. The lower operating range is driven by the GSD deferred AOR.

Percent Price Change to Customer by Division	FY 2023	FY 2024	FY 2025
SMAG-Retail ¹	6.67%	8.91%	7.12%
General Support Division	7.04%	9.91%	7.76%
Medical-Dental	5.78%	5.56%	4.82%
Air Force Academy	2.02%	7.06%	2.17%

From FY 2024 to FY 2025, total SMAG-R customer price change decreases due to reduced inflation factors.

¹ The SMAG-R Customer Price Change is a weighted average of the SMAG-R divisions.